MAYUR CHOUDHARY

Kelley School of Business, Indiana University • 1309 East 10th Street, Bloomington, IN 47405

mchoudh@iu.edu • https://mlchoudhary.github.io

ACADEMIC POSITIONS

Indiana University, Kelley School of Business *August 2025 - present*
Assistant Professor of Finance

EDUCATION

London Business School *September 2019 - August 2025*
Ph.D. in Finance

Indian Institute of Technology Kharagpur *July 2007 - April 2011*
Bachelors of Technology (Hons.)
Department of Electronics and Electrical Communication Engineering

Indian Institute of Management Calcutta *June 2011 - April 2013*
Post Graduate Diploma in Management

FIELDS OF INTEREST

- Political Economy, Law and Economics, Regulations, Contract Theory, Banking

WORKING PAPERS

Real Effects of Judicial Selection: The Role of Campaign Finance
The Brattle Group Ph.D. Candidate Awards For Outstanding Research (WFA 2025)

Abstract: This paper studies the real effects of campaign finance and judicial selection. Using the Supreme Court's surprise verdict in the Citizens United v. FEC case in 2010, I document that relaxing campaign finance restrictions led to a 61% increase in the average electoral expenditure of judicial candidates. Competition in judicial elections increased along with greater turnover of the judicial bench. Concomitantly, labor productivity increased by 5.8%, but only in states with judicial elections. This increase is driven by industries that are more reliant on the quality of legal institutions. Overall, I provide the first evidence that campaign finance deregulation in judicial elections increases electoral competition and improves factor allocation through a benign legal environment for firms.

Frequent Stress Tests
with Deepal Basak (Indiana Kelley) and Zhen Zhou (Tsinghua PBCSF)

Abstract: Stress tests are conducted frequently, and they disclose valuable information about the bank. A credible stress test design must account for stakeholders' strategic responses to the test results and ensure that any bank passing a test will not fail thereafter. We build a dynamic coordination framework to study the optimal design of credible stress tests. We show that higher testing frequency reduces the need for greater stringency of tests to make it credible. We also find the optimal stress test policy and show how it depends on macroeconomic conditions, the bank's systemic importance, distortionary private incentives, administrative costs, and the liability structure.

Experimentation and Learning under Competitive Search
with Emre Ozdenoren (LBS)

Abstract: We study competitive search equilibrium in markets where matches between workers and firms are an experience good and there is uncertainty about match productivity. Parties learn about the underlying match productivity through on-the-job experimentation. If the firms can offer fully flexible wages, the competitive search equilibrium is efficient. However, under fixed-wage contracts,

experimentation may be sub-optimal, resulting in fewer vacancies compared to the efficient benchmark. Conditions under which inefficiency occurs depend on whether the firms can commit to contract duration. Without commitment, there is generically too little experimentation. Minimum wages and non-common priors lead to inefficiency even under flexible wages.

Consumer Value of Privacy: Evidence from an Online Retailer
with Mimansa Bairathi (UCL School of Management) and Ankit Sisodia (Purdue Daniels)

Abstract: We study whether and how much consumers value personal information using data from a large online fashion retailer's tiered loyalty program. Consumers are offered loyalty points in exchange for voluntarily disclosing specific types of personal information such as date of birth, mobile phone number, and payment card details. While the number of points awarded for disclosure is fixed, the effective value of these points varies quasi-experimentally with a consumer's distance to the tier-upgrade threshold. Exploiting this variation, we examine the effect of incentives on disclosure behavior and recover bounds on value of personal information. We find that consumers value personal information. Likelihood of disclosure increases with incentives, and valuations differ across data types. Consumers value contact and financial information such as mobile number ($0.99) and payment card details ($1.02) significantly more than demographic information such as date of birth ($0.20). We further show that consumers who are more engaged with the platform, measured through prior spending and participation in platform activities, place a higher value on their personal information. Together, the results demonstrate that privacy valuations are heterogeneous across information types and depend on consumer experience with firms.

Screening and Transparency in Competitive Search [*draft coming soon*]
with Doruk Cetemen (LUISS) and Emre Ozdenoren (LBS)

Abstract: We study a competitive search market in which workers differ in their cost of search and effort within a match is hidden. A worker whose project fails returns to the search pool, so the bonus needed to induce effort depends on how costly it is for her to search again. When search costs are private information, a contract designed for a worker with high search cost can tempt a worker with low search cost, who can take the contract, defect, and return to search cheaply. In the resulting separating equilibrium, the contract of the high search cost worker is distorted to keep the low search cost worker out, so the distortion falls on the type that is already worse off. Pooling equilibria in which low search cost workers defect can also be sustained. We then compare an opaque market with a transparent one in which a worker's initial contract choice is observable. Transparency does not help the market discipline the low search cost worker: the cost of deterring her falls on the high search cost worker.

Political Finance and Party Preferences

Abstract: Politicians' influence depends on their relationships with other powerful politicians. In a network of elected representatives based on their committee assignments, I use network centrality as a measure of such influence. I use plausibly exogenous variation in funding to show that well-funded politicians tend to be more central. I also estimate the political parties' preferences over politicians' attributes and document that the parties place candidates with higher funding in more central positions than candidates with a stronger legislative record. This bias in favour of well-funded representatives is also reflected in other measures of influence, such as their legislative productivity.

RESEARCH IN PROGRESS

Fuel Choice and Electrification Reform with Lakshmi Naaraayanan (LBS) and Hanbin Yang (LBS)

Value of Political Finance Disclosure with Lakshmi Naaraayanan (LBS) and Sampreet Singh Goraya (Stockholm School of Economics)

Social Media and Bank Runs with Rhiannon Sowerbutts (Bank of England)

HONORS AND AWARDS

The Brattle Group Ph.D. Candidate Awards For Outstanding Research, WFA *2025*

PRESENTATIONS

Conferences: North American Summer Meeting of the Econometric Society 2026, WFA 2025, FMA 2025 , CICF 2024, 8th HEC PARIS PhD Workshop, Nottingham Interdisciplinary Centre for Economic and Political Research 2024, 7th Bristol Workshop on Banking and Financial Intermediation, ISB Summer Research Conference 2024, EEA Congress 2024, ESEM 2024, EFMA 2024.

Seminars: Kelley School of Business Indiana University, Leeds School of Business University of Colorado, BU Questrom School of Business, Nanyang Business School NTU, Indian School of Business, LBS Economics Brown Bag, LBS Finance PhD Seminar, Bank of England Financial Stability Seminar

TEACHING EXPERIENCE

- Intermediate Corporate Finance (Spring 2026)